mid to upper $400s, as projected under **OUTLOOK**, would be just about right to reflect the expected deflation *and* correct part of gold's current overvaluation relative to commodities. It is not necessary that all the overvaluation be corrected. After all, *some* premium on hard money will be justified as global financial conditions worsen. Despite that situation, though, some investors will be selling even their most precious assets to raise cash to pay debts and expenses. While the current overvaluation may not require a decline, then, it certainly is compatible with one.

Valuation of Gold Relative To Silver

Gold and silver had a 15:1 ratio of valuation for nearly one and a half millennia until silver was discovered in the western United States and the supply of silver swelled. From then until 1940, the ratio rose to 90:1, peaking as industrial use of silver slackened in the Depression. Then, as the U.S. Treasury bought a substantial amount of silver for coinage, the ratio retreated to about 20:1, edging to 17:1 at the peak of the bull market in 1980 (see Figure 17-7).

This modern day return to old ratio levels fostered a belief that silver had returned to its traditional value relative to gold and that

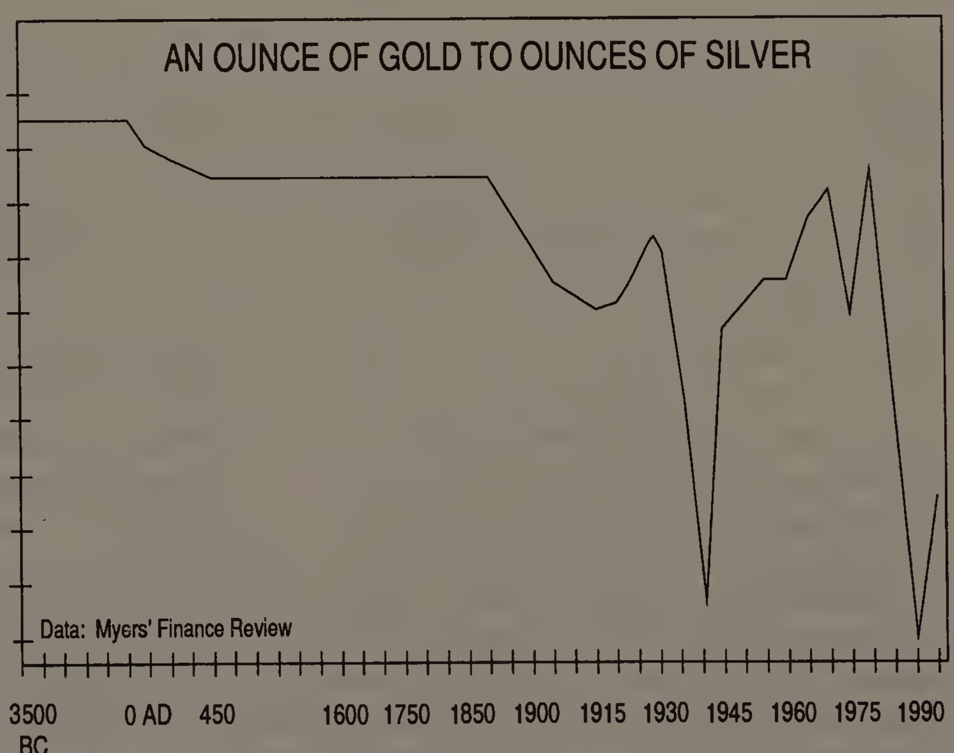

Figure 17-7